



From Data to From Data to Differentiation Strategic Positioning of SheZone Salon for Sustainable Growth

A BDM Capstone Project Presentation

Submitted by: Shagun Singh | Roll number: 24f2006347

Introducing SheZone Salon: A Local Favorite at a Crossroads



- SheZone is a mid-sized women's beauty salon established in 2015, located in Topkhana, Lucknow Cantt.
- It has built a steady local reputation by offering a core range of services: Haircuts, Facials, Waxing, Threading, Nail Care, and Bridal Makeup.
- Owned and operated by Mrs. Sherin, the salon is a cornerstone of the local community.

Despite its stable foundation, SheZone faces emerging challenges that threaten its long-term sustainability. How can data illuminate a path to future growth?

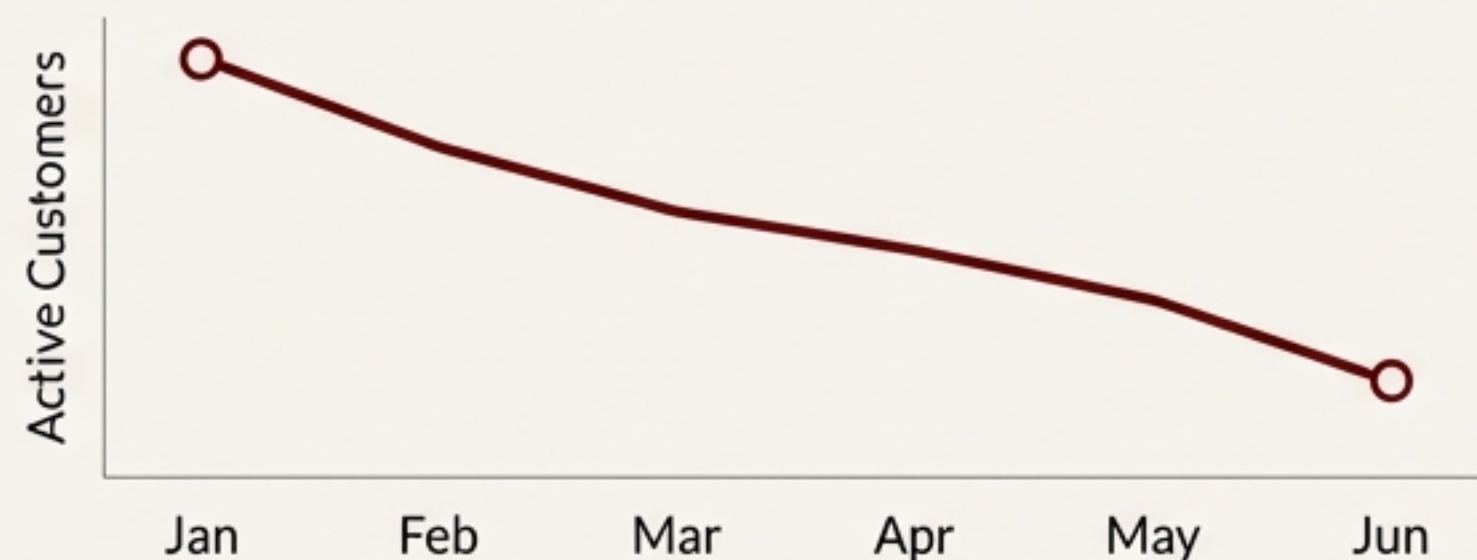


The Core Challenge: Customer Churn and Seasonal Revenue Dips

Two critical issues are impacting SheZone's performance and raising sustainability concerns.

Declining Customer Base

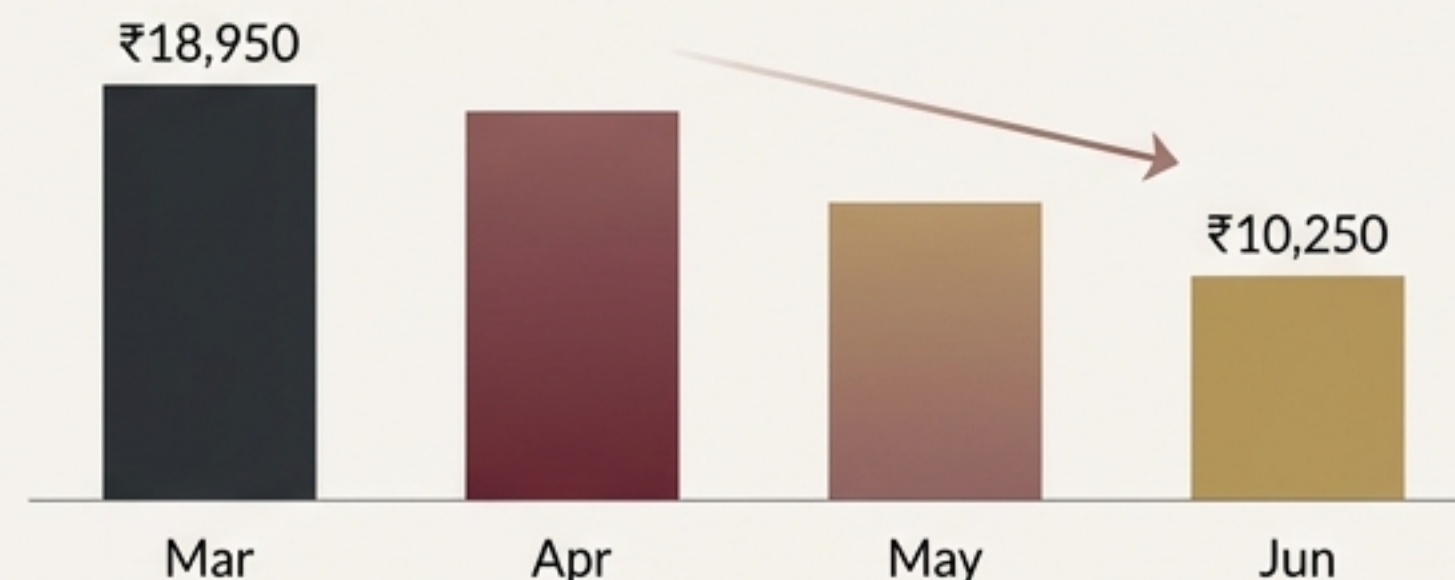
28% decline in active customers from the January peak to the June trough.



Insight: The salon is struggling to retain clients throughout the first half of the year, indicating a potential loyalty issue.

Unstable Revenue Streams

A significant **8-10% month-on-month revenue dip** between the peak season and off-season.



Insight: Over-reliance on seasonal demand creates financial instability during non-festive months.

The Investigative Approach: Uncovering Insights from Two Key Datasets

To diagnose SheZone's challenges, our analysis integrates two distinct data sources, providing a 360-degree view of the business and its market.



Internal Analysis (Primary Data)

- **Dataset:** SheZone_Appointment_Data_Jan-SheZone_Appointment_Data_Jan-Jun_2025.xlsx
- **Description:** A granular record of 450 appointments over six months, detailing customer visits, services availed, and spending patterns.
- **Objective:** To understand internal customer behavior, identify loyalty trends, and quantify the churn problem.



Market Analysis (Secondary Data)

- **Dataset:** Competitor_Analysis_Lakme_Naturals.xlsx
- **Description:** A compiled dataset of 300 service records from key competitors (Lakmé, Naturals, Urban Company).
- **Objective:** To benchmark SheZone's pricing, service mix, and market positioning against industry leaders.

A Business of Two Halves: Unpacking SheZone's Performance Data

SheZone's revenue is characterized by high-volume, low-cost routine services and low-volume, high-value premium services.

Spending Distribution is Heavily Skewed

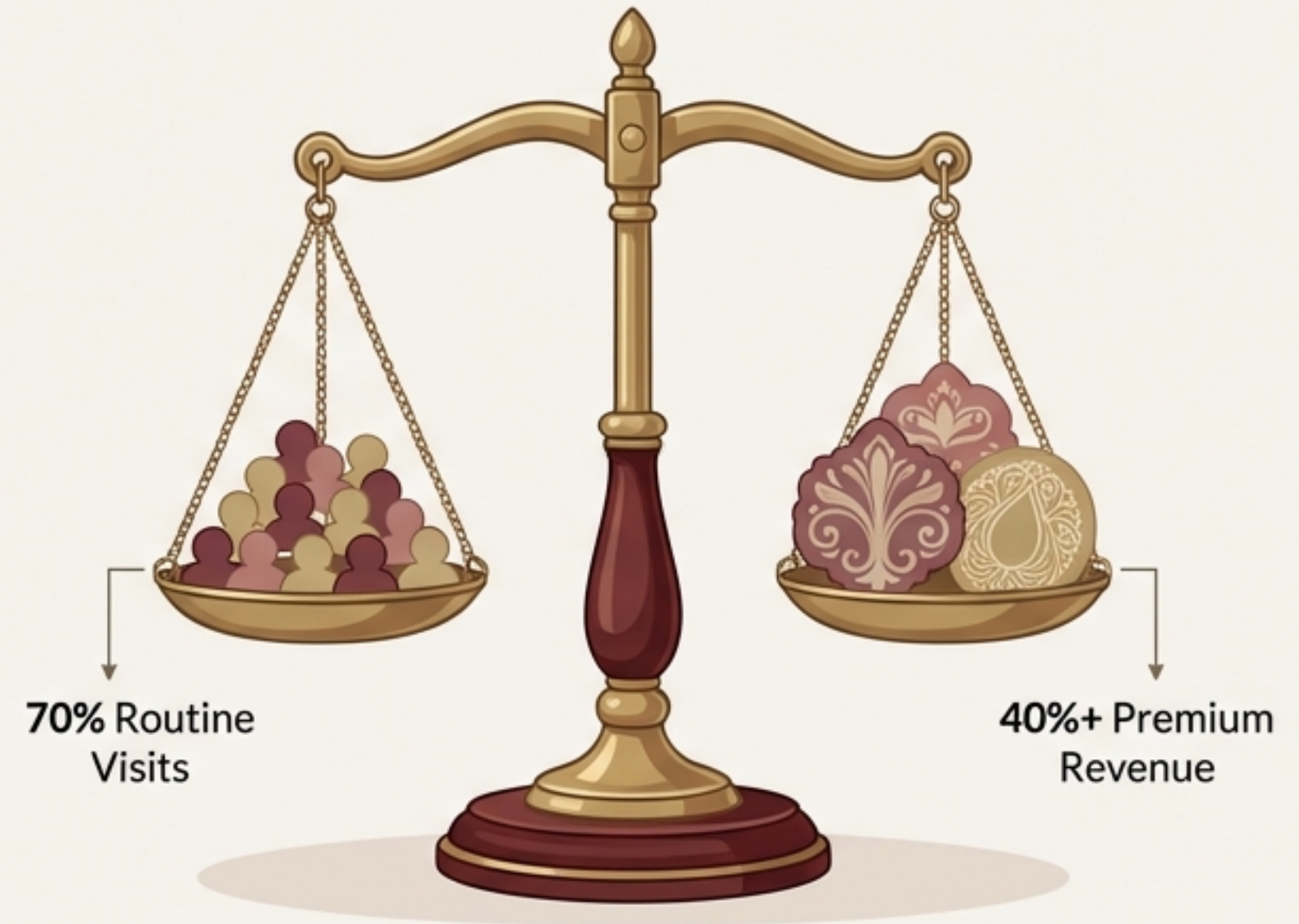
Mean Bill
Value:
₹560

Median Bill
Value:
₹425

Skewness:
+3.44
Indicates a long tail of
high-value transactions

Service Concentration

- **70% of all visits** are for routine services like Haircuts, Waxing, and Threading.
- However, **over 40% of total revenue** comes from premium services like Bridal Makeup and Hair Spa.

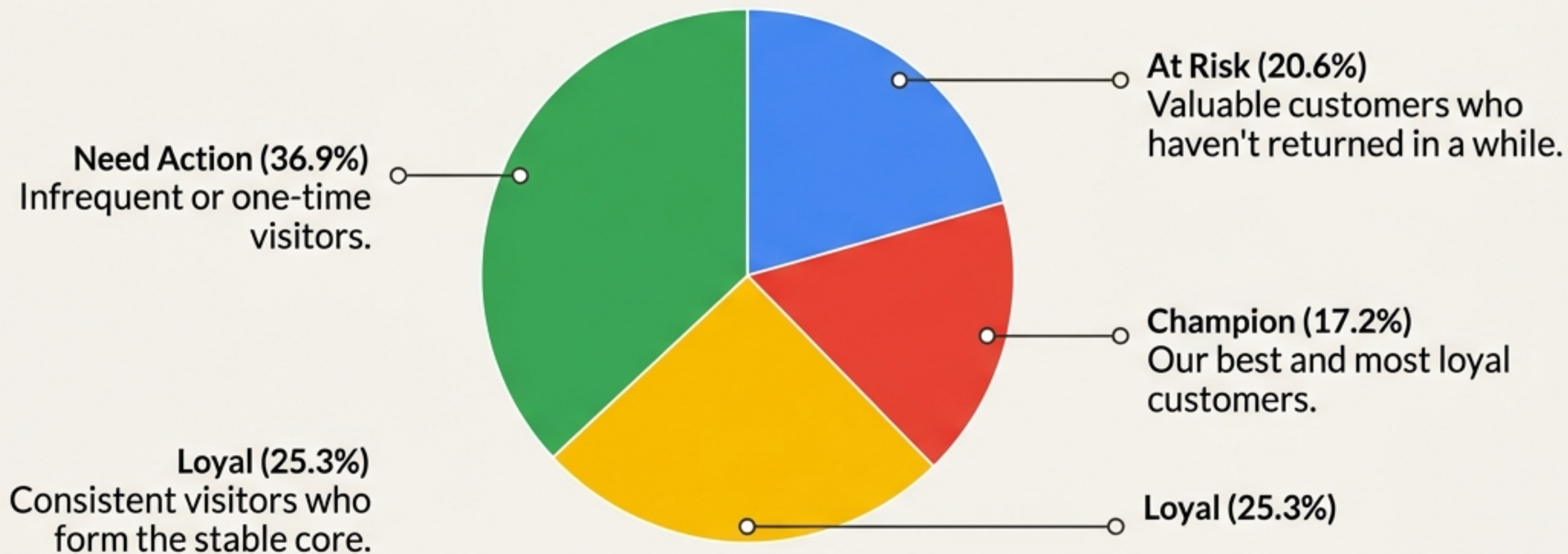


Insight: This dual nature highlights a critical dependency. While routine traffic keeps the salon busy, profitability hinges on attracting and retaining high-spending clients.



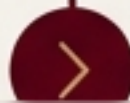
The Breakthrough: Segmenting Customers by Behavior Reveals Four Clear Personas

A Recency, Frequency, and Monetary (RFM) analysis was conducted to move beyond simple averages and classify clients into actionable segments. This reveals who SheZone's most valuable customers are, and who is at risk of leaving.



Key Takeaway

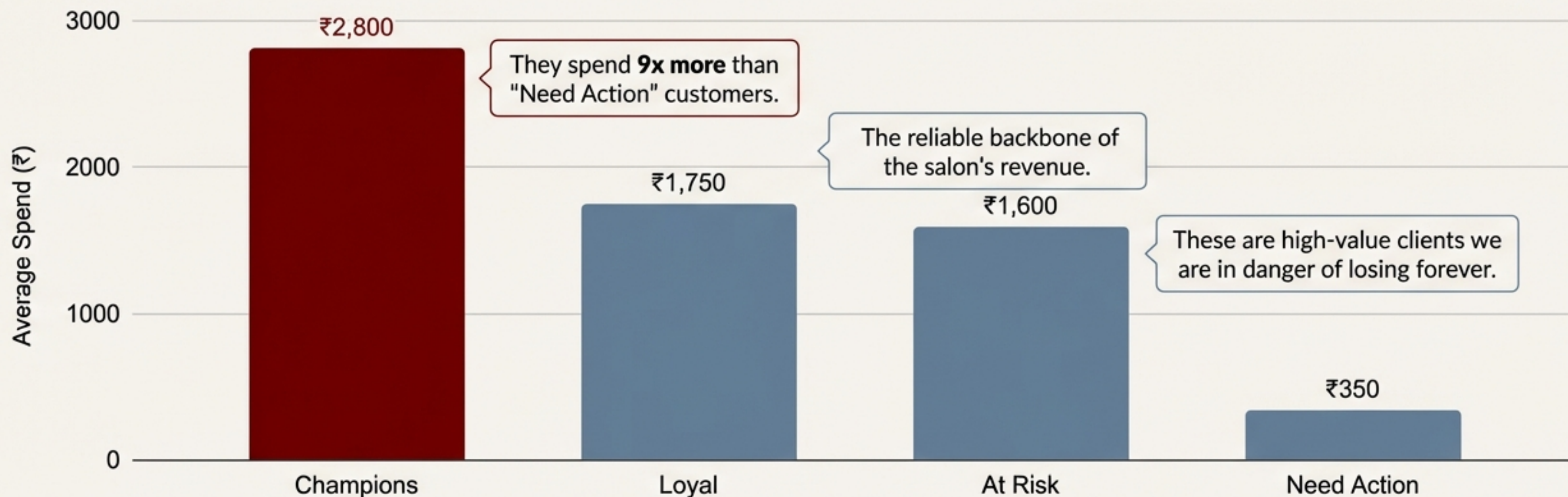
Nearly 40% of the customer base is inactive or at risk, representing both a major threat and a significant opportunity for re-engagement.



Not All Customers Are Created Equal: The Dramatic Value Gap Between Segments

A customer's value to the salon is directly tied to their segment. Champions are exponentially more valuable than the average client.

AVERAGE SPEND BY SEGMENT



Conclusion: The Pareto principle is in full effect: approximately 17% of customers (Champions) contribute a disproportionately large share of revenue. Retaining the high-spending "At Risk" segment is the most urgent priority.

Learning from the Leaders: How SheZone Stacks Up in a Competitive Market

To understand SheZone's opportunities, we benchmarked it against three key players in the local market: **Lakmé Salon**, **Naturals**, and the aggregator **Urban Company**.

LAKMÉ SALON

Positioning: **Premium**

Average Rating: **3.71** ★

Notable Strengths

Strong brand loyalty, perceived quality, high-end bridal services.

naturals

Positioning: **Mid-Premium**

Average Rating: **3.65** ★

Notable Strengths

Balanced portfolio, consistent customer experience, strong in Hair Spa.

UC Urban Company

Positioning: **Convenience / Aggregator**

Average Rating: **3.51** ★

Notable Strengths

Competitive pricing, app-based convenience, home services.

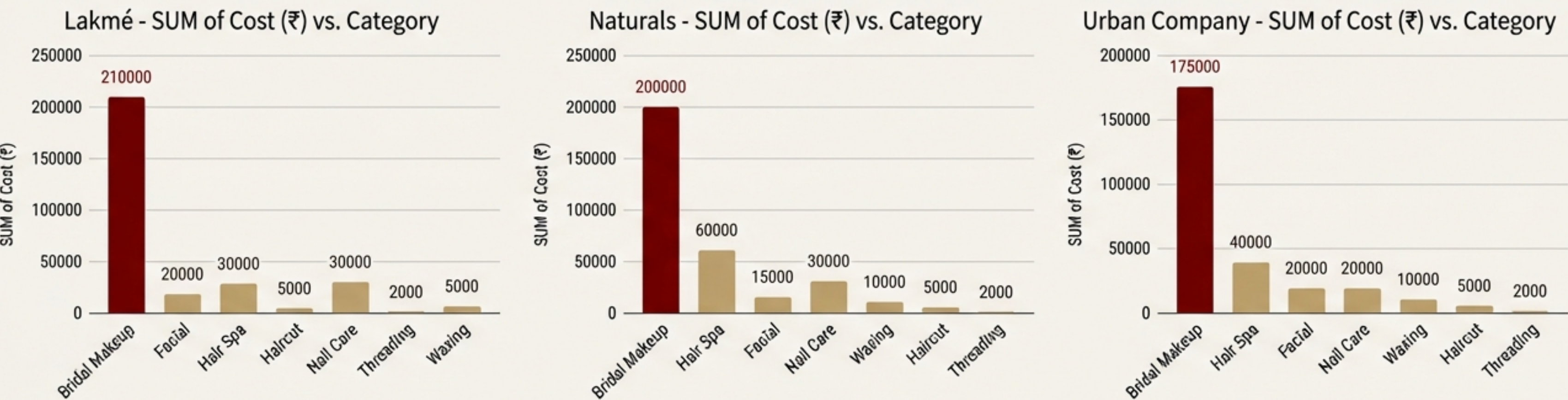
A Clear Premium Tier: Established brands like Lakmé and Naturals command significantly higher prices (average service cost ~₹3,100).

Strategic Focus: These leaders excel through advanced skincare technology, targeted marketing, and a consistent customer experience.

SheZone's Position: SheZone currently competes on affordability (average bill ₹560), but this leaves a perception gap in service quality and brand premium.

The Market Speaks: Premium Services Drive Profitability for Competitors

Analysis of competitor service catalogs reveals a universal trend: Bridal Makeup and other premium categories are the primary value drivers across the board.



Key Takeaway: The market has a strong appetite and willingness to pay premium prices for specialized, high-stakes services. While SheZone already offers these, there is a major opportunity to enhance, package, and market them more effectively to capture a larger share of this lucrative segment.

The Data-Driven Verdict: Four Key Insights for SheZone's Path Forward

Insight 1: Value is Concentrated



SheZone's profitability is driven by a small core of **"Champion"** customers (**17% of clients**). The business must prioritize their experience above all else.

Insight 2: Churn is a Silent Killer



The **"At Risk"** segment (**20.6%**) represents a significant loss of high-value customers. Re-engaging them is the most immediate and impactful growth lever.

Insight 3: The Market Rewards Specialization



Competitors demonstrate that **premium services** (**Bridal, Hair Spa**) are the key to unlocking higher revenue and brand prestige.

Insight 4: The Opportunity is in Personalization



SheZone's competitive advantage lies not in competing on price, but in bridging the **service-quality perception gap** through technology and personalized client experiences.

The Strategic Roadmap: A Three-Pronged Approach to Drive Sustainable Growth

Based on the analytical findings, we propose a focused strategy to address the core challenges of churn and seasonality. The goal is to transform SheZone from a traditional salon into a smart, personalized beauty destination.



Strategy 1: Nurture Your Champions, Re-engage Your 'At Risk'

Objective: Immediately address customer churn by focusing on the most valuable and most vulnerable segments.



Champions

(**17.2%** of Customers)

Implement a **loyalty program** with **exclusive perks**: early access to new services, birthday discounts, or a free add-on after a certain number of visits.

Goal: Make them feel valued and turn them into brand advocates.



At Risk

(**20.6%** of Customers)

Launch **targeted "We Miss You" reactivation campaigns** via WhatsApp or SMS, offering a **compelling, personalized discount** on their previously favored service.

Goal: Win back these high-spending clients before they are lost for good.

Strategy 2: Elevate the Premium Experience to Capture High-Value Demand



Objective: Increase the average bill size and strengthen market position by focusing on proven, high-revenue service categories.

Action 1: Create Tiered Bridal & Spa Packages

What

Bundle services like Bridal Makeup, Hair Spa, and Nail Care into premium, mid-range, and basic packages.

Why

This caters to different budgets and simplifies the choice for high-spending clients, mirroring the successful strategy of competitors like Lakmé and Naturals.



Action 2: Introduce Seasonal Promotional Bundles

What

During off-peak months (May-June), create attractive bundles (e.g., "Summer Glow" package combining a facial and a de-tan service).

Why

This directly counters the seasonal revenue dip by creating compelling reasons for customers to visit during quieter periods.



Strategy 3: Differentiate with Tech-Enabled Personalization →

Objective: Move beyond competing on price and build a reputation for expertise and customized care, creating a unique selling proposition.

How it Works

- Utilize accessible technology (e.g., a tablet with AI-powered skin analysis apps) to provide clients with **personalized** skincare recommendations.

The Benefit for Customers

They receive a tailored, **expert consultation** that goes beyond a standard facial, making them feel **understood and cared for**.

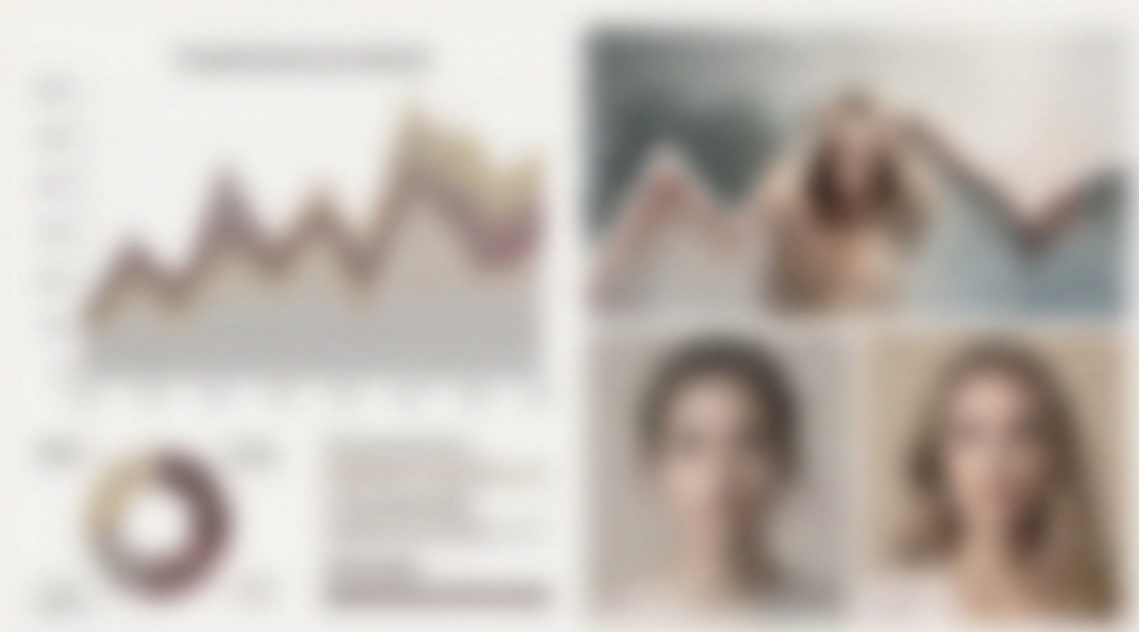


The Benefit for SheZone

- Creates a powerful **point of differentiation** from local competitors.
- Provides opportunities to **upsell high-margin skincare** products and services.
- Positions SheZone as a **modern, innovative, and expert-led brand**.

The Future of SheZone: A Smart, Personalized Beauty Experience

From



Facing uncertainty due to customer churn and unpredictable revenue.

To



Empowered by a deep, data-driven understanding of its customers and market position.

The Vision

By implementing a strategy focused on **targeted retention**, **premium service enhancement**, and **tech-enabled personalization**, SheZone can not only solve its current challenges but also build a resilient, high-growth business.

The data has illuminated the path. **SheZone's differentiation** lies in becoming the **most personalized and customer-centric salon** in its market.